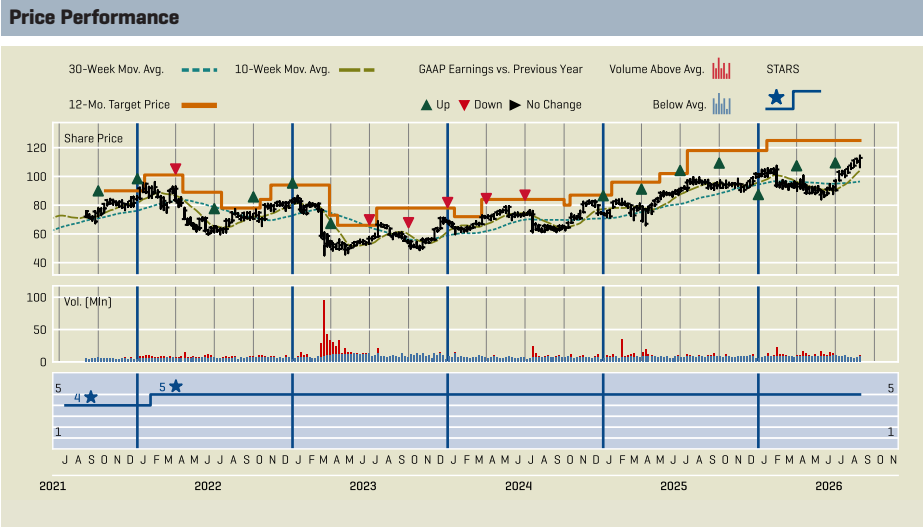


Recommendation	STRONG BUY ★★★★★	Price	12-Mo. Target Price	Report Currency	Investment Style
		USD 110.16 (as of market close Aug 28, 2026)	USD 125.00	USD	Large-Cap Blend

Equity Analyst Kenneth Leon

GICS Sector	Financials	Summary	A leading investment services firm, SCHW offers securities brokerage, wealth management, banking, custody and other services to individual and institutional clients.
Sub-Industry	Investment Banking and Brokerage		

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)					
52-Wk Range	USD 114.53 - 83.96	Oper.EPS2026E	USD 6.35	Market Capitalization[B]	USD 186.85
Trailing 12-Month EPS	USD 5.75	Oper.EPS2027E	USD 7.40	Yield [%]	1.18
Trailing 12-Month P/E	19.16	P/E on Oper.EPS2026E	17.35	Dividend Rate/Share	USD 1.28
USD 10K Invested 5 Yrs Ago	15,685.0	Common Shares Outstg.[M]	1,728.00	Trailing 12-Month Dividend	USD 1.23
				Beta	0.76
				3-yr Proj. EPS CAGR[%]	32
				SPGMI's Quality Ranking	A-
				Institutional Ownership [%]	46.0



Source: CFRA, S&P Global Market Intelligence

Past performance is not an indication of future performance and should not be relied upon as such.

Analysis prepared by Kenneth Leon on Aug 28, 2026 07:00 PM ET, when the stock traded at USD 102.34.

Highlights	Investment Rationale/Risk
► We expect revenue growth of 17%+ in 2026 after revenues rose 22% in 2025, driven by NIMs expansion to 3.00%+ [Q4 2026 exit rate 3.25%-3.30%] as SCHW completes paydown of high-cost supplemental borrowings and reinvests maturing low-yield securities at higher rates. Revenue diversification accelerates with managed investing flows growing 53% and bank lending growth at 33%. The crypto platform rollout is underway with transfer capability expected to create new asset opportunities. Record client engagement continues with daily average trades at 11.9M. SCHW gathered \$120B in core net new assets in Q2 and added 1.4M new accounts. ► Adjusted pre-tax profit margin expanded 750 bps in 2025 to 50.0%. We expect 100+ bps expansion in 2026, driven by Ameritrade integration completion, aggressive paydown of high-cost borrowings to \$5B, and operating leverage from record revenue growth. Management raised 2026 revenue guidance to 17.5%-18.5% and NIM outlook to 3.00%-3.10%. ► Bank loan balances accelerated to 33% growth reaching \$67B, while margin loans surged to \$165.1B. Strong capital position maintained with adjusted Tier 1 leverage at 6.8%.	► Our Strong Buy rating reflects SCHW's commanding market leadership with \$13.08T in client assets and 39.8M accounts, creating a powerful asset-gathering engine. Cash sorting headwinds are behind SCHW, enabling focus on paying down short-term funding. The Great Wealth Transfer of \$60T to younger generations through 2048 positions SCHW for multidecade growth, with Gen Z representing one-third of new households. SCHW's AI offensive drives operating leverage for margin expansion while creating monetizable advisory tools. Crypto platform and Forge integration expand revenue ecosystems, supporting double-digit growth through 2027. ► Risks include lower-than-expected acquisition synergies, NIM pressures, cash sorting activity jump, equity market pullback, CEO changes, and weak asset growth. ► Our \$125 target uses 16.9x our 2027 EPS estimate of \$7.40, above the 15.5x peer average. SCHW warrants higher valuation given sustained organic growth, new revenue ecosystems, and AI-driven margin expansion.

Analyst's Risk Assessment		
LOW	MEDIUM	HIGH

Our risk assessment reflects SCHW's strong market position in retail brokerage, fund management, and advisory services. It benefits from strong brand recognition, solid earnings diversity, and a scalable business model coupled with healthy leverage metrics. These benefits are tempered by the competitive landscape for retail brokers, secular pressures from the shift toward passive investment products, and recent concerns of potential liquidity issues within the banking sector. High sensitivity to equity markets and interest rates, as well as integration risks from the acquisition of TD Ameritrade, add to its challenges.

Revenue/Earnings Data					
Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2027	E 7,400	E 7,650	E 7,725	E 7,900	E 30,675
2026	6,482	7,072	E 7,075	E 7,265	E 27,894
2025	5,599	5,851	6,135	6,336	23,921
2024	4,740	4,690	4,847	5,329	19,606
2023	5,213	4,559	4,606	4,556	18,934
2022	4,672	5,093	5,500	5,497	20,762

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2027	E 1.70	E 1.85	E 1.90	E 1.95	E 7.40
2026	1.43	1.62	E 1.60	E 1.70	E 6.35
2025	1.04	1.14	1.31	1.39	4.87
2024	0.74	0.73	0.77	1.01	3.25
2023	0.93	0.75	0.77	0.68	3.13
2022	0.77	0.97	1.10	1.07	3.91

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data				
Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.3200	Jul 23	Aug 14	Aug 14	Aug 28 '26
0.3200	Apr 23	May 08	May 08	May 22 '26
0.3200	Jan 29	Feb 13	Feb 13	Feb 27 '26
0.2700	Oct 23	Nov 14	Nov 14	Nov 28 '25

Dividends have been paid since 1989 . Source: Company reports

Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance.

Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



The Charles Schwab Corporation

Business Summary Jul 21, 2026

Corporate Overview. Charles Schwab Corporation [SCHW] is a savings and loan holding company providing wealth management, securities brokerage, banking, asset management, custody, and financial advisory services. SCHW is the largest self-directed brokerage in the U.S. with \$11.9T in client assets, 38.5M active brokerage accounts, 5.7M corporate retirement plan participants, and 2.2M banking accounts as of December 31, 2025. It is also one of the largest providers of custodial, trading, banking, and support services to registered investment advisors (RIAs). Headquartered in Westlake, Texas, it maintains a nationwide presence with over 380 domestic branch offices in 48 states and the District of Columbia, as well as locations in Puerto Rico, the U.K., Hong Kong, and Singapore.

Business Strategy. SCHW champions every client’s goals through its “Through Clients’ Eyes” strategy, prioritizing client needs by disrupting industry practices and delivering superior service. The company offers transparent, affordable products by combining scale with expense discipline, a “no trade-offs” approach. With \$11.90T in client assets from a \$80T+ U.S. market, SCHW believes building trusted relationships will attract assets, drive revenue growth, and create long-term stockholder value through disciplined capital management.

Corporate Profile. SCHW is a highly diversified broker with its product suite geared toward a wide range of investors, from novice retail traders to sophisticated high-net-worth clients. The company has a diversified mix of businesses, with net interest revenue accounting for 49% of its 2025 revenues. Asset management and administration fees and trading revenue represent about 27% and 17%, respectively. Bank deposit account fees and Other revenues comprised the remaining 7%. The acquisition of Ameritrade [AMTD] significantly increased SCHW’s trading revenue, which was previously closer to 7%, as AMTD clients are typically far more active traders. SCHW recently revamped its active-trader platform with the addition of AMTD’s thinkorswim, which is considered to be the best-in-class platform, particularly with respect to futures contracts. SCHW’s legacy platform is better known for its equity research, which can easily be folded into thinkorswim.

We view SCHW as the top-tier organic asset gatherer with compelling structural growth tailwinds. In 2025, the company produced core net new asset growth of 42%, representing an annualized organic growth rate of 5%. This reflects SCHW’s ongoing progress following its Ameritrade integration.

Business Segments. Investor Services [79% of 2025 revenues] provides retail brokerage and banking services, retirement plan services, and other corporate brokerage services; full-service record keeping for stock plans, stock options, restricted stock, performance shares, and stock appreciation rights; and retail investor, retirement plan, and mutual fund clearing services. For 2025, this segment’s net revenues rose 22% Y/Y to \$19.0B, a result of higher net interest revenues [NIR; +27%], asset management and administration fees [+15%], trading revenues [+22%], and bank deposit account fees [+35%]. Expenses excluding interest increased 5% in 2025, while net new client assets surged 33%.

Advisor Services [21%] offers custodial, trading, banking, and support services, as well as retirement business and corporate brokerage retirement services, to independent RIAs, independent retirement advisors, and record keepers. For 2025, this segment’s net revenues were up 22% Y/Y at \$4.9B, with tailwinds from NIR [+33%], asset management and administration fees [+11%], trading [+7%], and bank deposit account fees [+31%]. Expenses excluding interest rose 4% in 2025 while net new client assets jumped 42% Y/Y.

Impact of Major Developments. Rick Wurster succeeded Walt Bettinger as CEO effective January 1, 2025, after Bettinger retired from the role. During Bettinger’s 16-year tenure, SCHW experienced robust growth, with client assets increasing from \$1.14T to \$9.74T, and the stock price rising fourfold. Bettinger will continue to support the transition as Executive Co-Chairman alongside founder, Charles Schwab.

SCHW has grown significantly over the past few years. On March 2, 2026 SCHW completed its Forge Global acquisition providing investors with direct and indirect access to shares of pre-IPO companies. On June 6, 2023, SCHW launched Schwab Trading Powered by Ameritrade, combining the thinkorswim platform with SCHW’s trading tools, and incorporated iRebal for independent advisors. The client transition occurred in five phases between February 2023 and May 2024, moving approximately \$1.9T in assets from over 17M accounts, including 7,000 RIAs. On May 26, 2020, SCHW completed its acquisition of the brokerage and wealth management business of USAA. The deal added 1.1M brokerage and managed portfolio accounts with \$80B in client assets to SCHW’s client base. SCHW also entered into the agreement to act as the exclusive provider of wealth management and investment brokerage services for USAA members. On October 6, 2020, SCHW completed the acquisition of AMTD in an all-stock transaction that initially valued AMTD at \$26B, which decreased to \$22B at the time of closing.

Financial Trends. Financial performance was exceptional in 2025 as net income hit \$8.9B, rising 49%, with adjusted EPS of \$4.87 increasing 50%. Total net revenues grew 22% to \$23.9B, led by net interest revenue of \$11.8B, up 28% due to reduced funding costs and lending growth, asset management fees of \$6.5B, up 14% on higher balances and managed solutions, and trading revenue of \$3.9B, up 20% on increased volume. Expenses rose modestly by 5% to \$12.5B, reflecting disciplined investments in growth and client capabilities, while ROE improved to 21% from 15% and ROTCE reached 38% from 35%. On the balance sheet, margin loans surged 34% to \$112.3B and bank loans grew 28% to \$58.0B, while the company successfully reduced bank supplemental funding by 90% to \$5.1B and returned \$7.3B to shareholders through buybacks while increasing its quarterly dividend 8% to \$0.27 per share.

Corporate information

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Officers	
CEO, President & Director R. A. Wurster	MD, General Counsel & Corporate Secretary P. J. Morgan
MD & CTO T. Heier	MD & Chief Financial Officer M. D. Verdeschi

Board Members	
A. Sarin	J. T. Dea
C. A. Ruffel	M. C. Brown
C. R. Schwab	P. A. Sneed
C. Schwab-Pomerantz	R. A. Wurster
C. V. Dodds	S. A. Ellis
F. C. Herringier	W. W. Bettinger
J. K. Adams	

Domicile Delaware	Auditor Deloitte & Touche LLP
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Founded
1971

Employees
33,700

Stockholders
4,132

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
	LOWEST			HIGHEST	
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].				
Fair Value Calculation	USD 99.58	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that SCHW is overvalued by USD 10.58 or 9.60%			
Volatility	LOW	AVERAGE	HIGH		
Technical Evaluation	NEUTRAL	Since June, 2026, the technical indicators for SCHW have been NEUTRAL "			
Insider Activity	UNFAVORABLE	NEUTRAL	FAVORABLE		
Expanded Ratio Analysis					
	2025	2024	2023	2022	
Price/Sales	7.56	6.92	6.65	7.60	
Price/Tangible Book Value	7.48	6.95	10.86	25.04	
Price/Pretax Income	15.77	17.65	19.75	16.80	
P/E Ratio	20.52	22.77	21.98	21.35	
% LT Debt to Capitalization	16.95	18.77	21.06	25.05	
Avg. Diluted Shares Outstg. [M]	1,809.00	1,834.00	1,831.00	1,894.00	
Figures based on fiscal year-end price					
Key Growth Rates and Averages					
Past Growth Rate [%]		1 Year	3 Years	5 Years	
Net Income		48.97	7.21	21.82	
Ratio Analysis [Annual Avg.]					
Return on Equity [%]		18.10	14.82	14.07	
Return on Assets [%]		1.82	1.34	1.23	

Per Share Data [USD]	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Tangible Book Value	13.35	10.64	6.34	3.33	13.19	14.03	13.69	12.38	10.70	9.20
Free Cash Flow	4.65	0.88	10.35	0.58	0.40	4.19	6.45	8.70	-1.05	2.36
Earnings	4.65	2.99	2.54	3.50	2.83	2.12	2.67	2.45	1.61	1.31
Earnings (Normalized)	4.87	3.25	3.13	3.90	3.25	2.45	2.67	2.45	1.64	1.30
Dividends	1.08	1.00	1.00	0.84	0.72	0.72	0.68	0.46	0.32	0.27
Payout Ratio (%)	26.31	38.29	44.92	29.37	31.12	38.80	28.62	22.44	25.15	25.73
Prices: High	102.28	83.35	86.63	96.24	86.43	53.32	51.64	60.22	52.52	40.58
Prices: Low	65.88	59.67	45.00	59.35	50.76	28.00	34.58	37.83	37.16	21.51
P/E Ratio: High	21.00	25.60	27.70	24.70	26.60	21.80	19.30	24.60	32.00	31.20
P/E Ratio: Low	13.50	18.40	14.40	15.20	15.60	11.40	13.00	15.40	22.70	16.50

Net Interest Income	11,750	9,144	9,427	10,682	8,030	6,113	6,516	5,823	4,282	3,322
Revenue	23,921	19,606	18,934	20,762	18,520	11,691	10,721	10,132	8,618	7,462
Interest Expense	3,754	6,393	6,684	1,545	476.00	418.00	1,064	857.00	342.00	171.00
Loan Loss Provision	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
% Expense/Operating Revenue	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Pretax Income	11,459	7,692	6,378	9,388	7,713	4,300	4,848	4,562	3,650	2,993
Effective Tax Rate [%]	22.80	22.80	20.60	23.50	24.10	23.30	23.60	23.10	35.50	36.90
Net Income	8,852	5,942	5,067	7,183	5,855	3,299	3,704	3,507	2,354	1,889
Net Income [Normalized]	7,142	4,899	4,696	6,106	5,104	2,952	3,046	2,851	2,281	1,861

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The Charles Schwab Corporation

Sub-Industry Outlook

Our fundamental outlook on the investment banking & brokerage sub-industry remains positive. We think global U.S. investment bank performance will accelerate in 2026 given stronger equity markets that can afford a risk-on environment. We believe midsize brokerage firms with diverse franchises in trading, asset, and wealth management should see similar benefits from the U.S. capital markets.

We recommend staying the course with global U.S. banks given their revenue and earnings growth ahead. We are monitoring how interest rate changes and the economic outlook affect net interest income (NII) and credit loss provisioning, as we expect normalized earnings capacity. Whether markets shift toward risk-on or risk-off sentiment will determine NII and noninterest income revenue drivers.

Equity capital market (ECM) underwritings in 1H 2026 showed \$569B (+72% Y/Y), the strongest annual period in five years, according to LSEG Data & Analytics. By region, the U.S. realized \$302B (+148%), EMEA \$92B (+30%), Asia-Pacific \$123B (+19%), Japan \$22B (+57%), and other markets at \$30B. Global IPOs totaled \$170B and rose 246%, including the \$86.3B IPO for Space Exploration Technologies Corp. (SPCX), while follow-on equity offerings were up 70% to \$440B in 1H 2026. Global convertible offerings were \$128B (+78% Y/Y), with strong activity in the U.S. and Asia-Pacific ex-Australia markets. Related to total global ECM underwriting, China issuance was \$77B, a 35% increase from a year ago, according to LSEG.

Debt capital markets (DCM) underwriting in 1H 2026 increased 7% to a new record, according to LSEG. Global debt underwriting activity for 1H 2026 totaled \$7.1T (+7%). Investment grade was at \$3.4T (+10%), with global agency, sovereign & supranational at \$2.2T (+4%), high yield offerings \$261B (+12%), and other securitizations \$1.4T. All categories were higher except global emerging markets' corporate debt (-7% Y/Y) and U.S. federal credit agency debt, which was down 43% but is a small component of total global debt. U.S. bond

markets rose 16% Y/Y to \$2.4T, and Asia local currency bond offerings totaled \$3.8T, including China. Global high yield issuance was up to \$261B, a five-year high and increase of 12% Y/Y.

Mergers and acquisitions (M&A) value rose 50% to \$2.85T, but the number of deals fell 9% Y/Y in 1H 2026. By region, M&A announced transaction values for the Americas were \$1.5T, up 80% Y/Y in deal value (53% of total announced M&A), Europe more than doubled Y/Y to \$676B (24%), and Asia-Pacific was \$360B (13%). Japan and other markets were the remaining 10% of 1H 2026 M&A transactions by deal value. CFRA believes investor sentiment will stay positive, barring global geopolitical risks like trade tariffs, although we are cautious on inflation. Mega-deals greater than \$10 billion more than doubled to \$1.5T, up 47% Y/Y in 1H 2026. Private equity-backed M&A rose 54% to an all-time record, with the overall value reaching \$602B, accounting for 21% of overall M&A value.

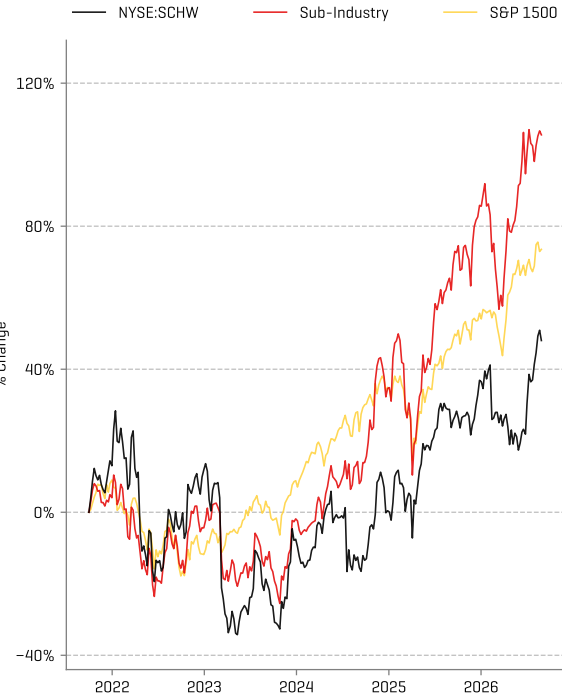
We believe global U.S. banks can support higher P/E multiples with better-than-expected earnings results. We think strong earnings results are a prerequisite for stocks being able to rebound. As of December 31, 2025, the sub-industry index was up 35.2% Y/Y vs. the S&P Composite 500 (+15.5% Y/Y). Year-to-date as of July 2, 2026, the sub-industry index was up 11.0%, slightly outperforming the broader S&P Composite 500 (+9.9%). CFRA has a marketweight view on the Financials sector.

/ Kenneth Leon

Industry Performance

GICS Sector: Financials
 Sub-Industry: Investment Banking and Brokerage

Based on S&P 1500 Indexes
 Five-Year market price performance through Aug 29, 2026



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
 All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
 Past performance is not an indication of future performance and should not be relied upon as such.
 Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Investment Banking and Brokerage Peer Group*: Investment Banking and Brokerage

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
The Charles Schwab Corporation	SCHW	NYSE	USD	108.05	186,855.0	2.0	11.5	19.0	99.58	1.2	20.3	17.2
Evercore Inc.	EVR	NYSE	USD	292.12	11,234.0	-14.2	-9.9	16.0	314.95	1.2	39.5	16.5
Futu Holdings Limited	FUTU	NasdaqGM	USD	124.57	17,464.0	22.3	-32.3	12.0	116.72	2.0	30.5	N/A
Interactive Brokers Group, Inc.	IBKR	NasdaqGS	USD	96.55	43,745.0	6.2	56.3	38.0	85.59	0.4	24.0	N/A
Jefferies Financial Group Inc.	JEF	NYSE	USD	52.84	12,182.0	-7.7	-18.4	15.0	54.28	3.0	8.3	64.0
LPL Financial Holdings Inc.	LPLA	NasdaqGS	USD	361.22	28,443.0	5.5	-1.3	17.0	384.49	0.3	18.6	55.9
Morgan Stanley	MS	NYSE	USD	214.86	337,452.0	1.6	43.8	17.0	224.27	2.1	18.0	52.0
Raymond James Financial, Inc.	RJF	NYSE	USD	176.11	33,877.0	-0.6	4.9	15.0	185.82	1.2	18.4	22.4
Robinhood Markets, Inc.	HOOD	NasdaqGS	USD	109.76	98,683.0	18.3	6.6	44.0	78.06	N/A	23.6	6.7
Stifel Financial Corp.	SF	NYSE	USD	80.81	12,202.0	-4.5	4.2	14.0	66.43	1.7	16.4	12.3
The Goldman Sachs Group, Inc.	GS	NYSE	USD	1,040.87	315,139.0	0.7	38.8	16.0	863.62	1.9	16.9	35.2

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
 NA-Not Available; NM-Not Meaningful.
 Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

The Charles Schwab Corporation

Analyst Research Notes and other Company News

July 21, 2026

01:45 PM ET... CFRA Upholds Strong Buy Rating on Shares of The Charles Schwab Corporation [SCHW 102.34*****]:
We hold our target at \$125, 16.9x our 2027 EPS estimate, a premium to the peer average [15.5x] reflecting SCHW's superior earnings power. We increase our 2026 EPS view by \$0.54 to \$6.35 and 2027's by \$0.55 to \$7.40. The revision follows a strong Q2 and a significant boost to 2026 guidance, with revenue now projected to grow 17.5%-18.5%. In our view, the corresponding rise in expense guidance to a new range of 9.5%-10.5% is a positive indicator, as we see it being driven by strong client engagement and strategic investments that create powerful operating leverage. We believe key secular tailwinds for holistic advice and financial consolidation are strengthening, a dynamic that is fueling record growth in SCHW's managed investing solutions and a 33% Y/Y surge in bank lending. This powerful core business momentum, when combined with strategic expansions into new growth areas like cryptocurrency and private markets, reinforces our view that SCHW is building an unmatched ecosystem for long-term, diversified growth. / Caydee Blankenship

July 21, 2026

08:52 AM ET... SCHW: Record Q2 Across the Board Reflecting NIM Expansion and Client Engagement [SCHW 102.54*****]:
SCHW delivered a record Q2 with adjusted EPS of \$1.62 vs \$1.55 consensus and \$1.14 the prior year, while total net revenues of \$7.07B [+21% Y/Y] beat estimates by \$170M. Broad-based strength across all revenue lines drove results, with NIM expanding 12 bps Q/Q to 3.00% from rapid repricing of client sweep balances and declining funding costs. We believe SCHW's diversified revenue profile and strong operating leverage position the firm well, with GAAP pre-tax margin reaching 51.9% [+400 bps] and annualized return on tangible common equity of 44%. Strategic developments included launching Schwab Crypto for direct Bitcoin and Ethereum trading and the Portfolio Insights AI tool. Client engagement remained exceptional with core net new assets of \$119.8B [+49%], total client assets growing to \$13.08T [+22%], and record daily trading volumes of 11.9M [+57%]. We expect continued momentum from strong organic growth, technology investments, and expanding client relationships across retail and RIA segments. / Caydee Blankenship

April 16, 2026

12:35 PM ET... CFRA Keeps Strong Buy Rating on Shares of The Charles Schwab Corporation [SCHW 95.54*****]:
We hold our target price at \$125, 18.2x our 2027 EPS estimate, a premium to the peer average [16.6x] given SCHW's healthy earnings power. We increase our 2026 EPS view by \$0.08 to \$5.81 and 2027's by \$0.27 to \$6.85. Following Q1 earnings, we believe investors are reacting negatively to the top-line miss. Yet, we remain constructive on SCHW's strategic framework and its ability to drive long-term value. Management's key messages from the call reinforce our thesis, highlighting that its "Through Clients' Eyes" strategy is delivering record client growth, its platform is proving uniquely capable in volatile markets, and its pace of innovation is accelerating. This rapid innovation, particularly in digital assets, AI-powered tools, and the new Schwab Investor Teen Account, supports our long-held view that SCHW is building a competitive moat with younger generations. By capturing these clients early with relevant technology and a mission-driven approach, SCHW is positioning itself as the primary financial partner. / Caydee Blankenship

April 16, 2026

08:51 AM ET... SCHW Q1: Margin Expansion Powers EPS Beat, Revenue Slightly Below Estimates [SCHW 100.27*****]:
The Charles Schwab Corporation [SCHW] posted a Q1 earnings beat of \$1.43 vs. \$1.39 consensus and \$1.04 in the prior year, with quarterly net revenues of \$6.48B [+16%] reaching a company record. Revenue growth was broad-based, with net interest revenue +16%, asset management and administration fees +15%, and trading revenue +20%. We think these results demonstrate the strength of SCHW's diversified business model amid market uncertainty. Asset gathering was strong, with 1.3M new brokerage accounts and \$140B of core net new assets in Q1. Client engagement reached record levels, with daily average trading volume hitting 9.9M trades [+34%], while total client assets stood at \$11.77T [+19% Y/Y]. Net interest margin expanded to 2.88% from 2.53% in the prior year due to higher yields and improved funding. The firm's strong capital position enabled \$2.4B in share repurchases and a 19% dividend increase to \$0.32 per share. We believe SCHW's diversified model and deepening client relationships support continued growth. /

Caydee Blankenship

February 10, 2026

03:31 PM ET... Wealth Management Stocks Decline on AI Disruption Fears [SCHW 107.21*****]:
Wealth management stocks declined on Altruist's AI tax planning announcement, with SCHW and LPLA experiencing pressure. Both delivered Q4 results with SCHW achieving record core net new assets and adding 1M+ new brokerage accounts quarterly, while LPLA posted substantial asset growth and advisor recruitment. We believe competitive concerns appear misplaced as both operate as platform providers rather than direct tax planning services, with a limited competitive threat from Altruist. Management highlighted AI initiatives, with SCHW implementing AI across 220+ use cases and LPLA investing in automation to enhance advisor experiences. We expect both to benefit from secular tailwinds, including the Great Wealth Transfer opportunity and strong market conditions driving client engagement. SCHW's upcoming crypto launch addresses client demand while LPLA's Commonwealth acquisition is tracking well, positioning both for multi-decade growth despite AI disruption fears. / Caydee Blankenship

January 21, 2026

05:55 PM ET... CFRA Upholds Strong Buy Rating on Shares of The Charles Schwab Corporation [SCHW 101.79*****]:
We increase our target by \$7 to \$125, applying a forward P/E of 19.0x our 2027 EPS view compared to the three-year forward historical average of 19.7x and the peer average of 17.5x. We raise our 2026 EPS view by \$0.22 to \$5.73 and start 2027's at \$6.58 on revenue projections of \$26.33B [+10%] and \$29.31B [+11%], respectively. In our view, the key catalysts for SCHW include ongoing strategic initiatives that position the company for sustained growth. Management is implementing AI across 220+ use cases to drive operational efficiency and enhance client service. The upcoming 1H 2026 crypto launch addresses significant client demand, with SCHW already capturing 20% of crypto ETP market share. We particularly like SCHW's strategy of capturing younger investors. Gen Z comprises one-third of new retail clients, and SCHW leads as the #1 financial services firm on YouTube. We believe SCHW's initiatives collectively drive revenue diversification, client engagement, and market share gains across key growth demographics. / Caydee Blankenship

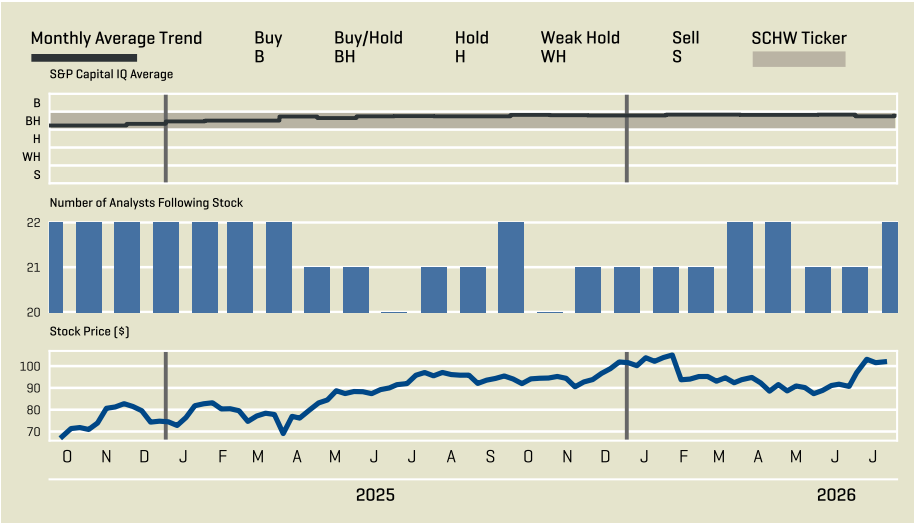
January 21, 2026

09:04 AM ET... SCHW Reports Record Q4 Revenue Despite Missing Consensus [SCHW 100.99*****]:
SCHW delivered mixed Q4 results, with net revenues of \$6.34B [+19%], \$50M below consensus but marking the highest quarterly revenue in company history. Adjusted EPS of \$1.39 matched expectations, up from \$1.01 Y/Y, while pre-tax margins expanded significantly to 52.2% from 46.6% on disciplined expense control. The company achieved record core net new assets of \$163.9B in Q4, bringing full-year organic asset gathering to \$519.4B, representing 5.1% growth, supported by strong client engagement with daily trading volumes up 31% to 8.3M. Net interest margin improved substantially to 2.90% from 2.33%, while trading revenue jumped 22% and asset management fees increased 15%. Total client assets reached a record \$11.90T [+18%], with over 1M new brokerage accounts added for the fifth consecutive quarter. SCHW returned \$11.8B to shareholders in 2025, including \$2.7B in Q4 repurchases, while maintaining robust capital ratios with preliminary Tier 1 Leverage of 9.3%. / Caydee Blankenship

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

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Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	11	50	10	11
Buy/Hold	7	32	7	8
Hold	3	14	3	2
Weak hold	1	5	1	1
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	22	100	21	22

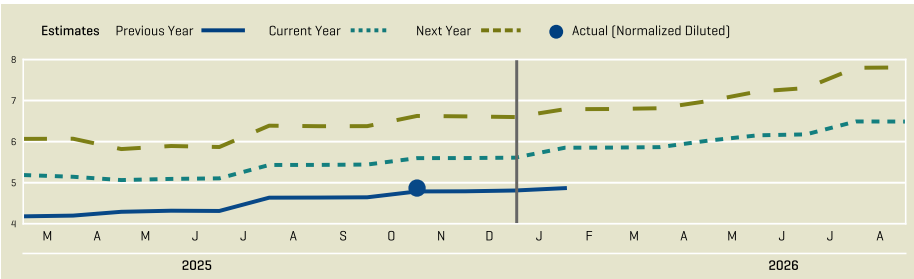
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2026, analysts estimate that SCHW will earn USD 6.49. For fiscal year 2027, analysts estimate that SCHW's earnings per share will grow by 20.29% to USD 7.80.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2027	7.80	8.47	7.11	22	13.84
2026	6.49	6.61	6.36	21	16.65
2027 vs. 2026	▲ 20%	▲ 28%	▲ 12%	▲ 5%	▼ -17%
Q3'27	2.02	2.19	1.81	14	53.46
Q3'26	1.67	1.73	1.63	18	64.69
Q3'27 vs. Q3'26	▲ 21%	▲ 27%	▲ 11%	▼ -22%	▼ -17%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.

Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

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Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index [MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index]], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share [EPS] estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics.

Abbreviations Used in Equity Research Reports

CAGR - Compound Annual Growth Rate
 CAPEX - Capital Expenditures
 CY - Calendar Year
 DCF - Discounted Cash Flow
 DDM - Dividend Discount Model
 EBIT - Earnings Before Interest and Taxes
 EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
 EPS - Earnings Per Share
 EV - Enterprise Value
 FCF - Free Cash Flow
 FFO - Funds From Operations
 FY - Fiscal Year
 P/E - Price/Earnings
 P/NAV - Price to Net Asset Value
 PEG Ratio - P/E-to-Growth Ratio
 PV - Present Value
 R&D - Research & Development
 ROCE - Return on Capital Employed
 ROE Return on Equity
 ROI - Return on Investment
 ROIC - Return on Invested Capital
 ROA - Return on Assets
 SG&A - Selling, General & Administrative Expenses
 SOTP - Sum-of-The-Parts
 WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



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Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five (six) model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of June 30, 2026

Ranking	North America	Europe	Asia	Global
Buy	44.8%	47.5%	50.5%	46.7%
Hold	42.1%	41.1%	44.5%	42.4%
Sell	13.1%	11.3%	5.0%	10.9%
Total	100.0%	100.0%	100.0%	100.0%

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